

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

LOGFRET, INC., *Complainant*

v.

KIRSHA, B.V., LEENDERT JOHANNES BERGWERFF A/K/A
HANS BERGWERFF, AND LINDA SIEVAL, *Respondents*.

DOCKET NO. 18-10

Served: February 20, 2020

BEFORE: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING RESPONDENTS' PETITION FOR ATTORNEY FEES¹

I. Background

A. Summary

On October 23, 2019, Respondents filed a petition seeking attorney fees ("Petition") and a motion for confidential treatment ("Motion") in this proceeding which became administratively final on October 21, 2019. In response to an order, on November 7, 2019, Respondents filed a supplement to the petition for attorney fees ("Petition Supplement"). After the denial of a motion to strike, which granted additional time to respond to the petition, Complainant timely filed its response to the petition ("Response") on January 13, 2020. Complainant did not contest Respondents' motion for confidential treatment.

Complainant Logfret, Inc. ("Logfret") is a non-vessel-operating common carrier ("NVOCC") and an affiliate of Logfret B.V., a common carrier based in The Netherlands. Respondents are two individuals and a corporation: Mr. Bergwerff, a Dutch national, was Managing Director of Logfret B.V.; Ms. Sieval, a Dutch national, was a sales manager for Logfret B.V.; and corporate Respondent Kirsha B.V. is a corporation in The Netherlands whose owner and managing director is Mr. Bergwerff. Amended Complaint at 2-3.

Complainant alleged that "Mr. Bergwerff, with the help of Ms. Sieval, directed the staff of Logfret B.V. to handle inbound shipments to the United States through Delmar USA rather than Logfret, for at least two accounts" and that for "months thereafter, Mr. Bergwerff and Ms. Sieval knowingly received information about the nature, kind, quantity, and destination of cargo tendered or delivered to Logfret B.V. with the intent to be shipped to the United States on Logfret bills of lading." Amended Complaint at 5-6. Respondents denied the allegations, asserting that this was "an internal disagreement among Logfret entities, employees and former

¹ This order will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this order within twenty-two days of the date of service of the order. 46 C.F.R. § 502.254(h).

management of Logret, B.V.,” the Logret affiliate in The Netherlands. Respondents’ Opposition to Motion to Amend Complaint at 4.

The initial decision granted Respondents’ motion to dismiss, concluding that “this appears to be an employment dispute between affiliates, not a Shipping Act violation,” and stating:

The amended complaint does not make a plausible claim that the Respondents were NVOCCs as they did not hold themselves out or assume responsibility as required by the Shipping Act. Therefore, both personal and subject matter jurisdiction are lacking. In addition, there is no basis to assert jurisdiction based on Respondents being “other persons” and no attempt is made to pierce the corporate veil.

Initial Decision at 19 (citation omitted).

B. Procedural History

This proceeding began with a complaint filed on November 14, 2018. The time to respond to the complaint was extended to January 2019. On January 28, 2019, Respondents Kirsha B.V., Mr. Bergwerff, and Ms. Sieval filed a motion to dismiss the complaint.

On February 7, 2019, Complainant Logfret filed a motion to amend the complaint. In response to an order, on February 21, 2019, Complainant filed a memorandum in support of the motion to amend the complaint and attached the proposed amended complaint. On March 7, 2019, Respondents filed an opposition to the motion to amend the complaint and statement of impact of the proposed amendment on their motion to dismiss. On April 24, 2019, an order was issued granting the motion to amend the complaint and allowing the parties additional time to brief the motion to dismiss as applied to the amended complaint.

On May 8, 2019, Complainant filed a memorandum in opposition to Respondents’ motion to dismiss. On May 20, 2019, Respondents filed a reply to Complainant’s opposition to the motion to dismiss. On September 17, 2019, an initial decision was issued granting the motion to dismiss. No exceptions were filed and the initial decision became administratively final on October 21, 2019.

On October 23, 2019, Respondents filed a petition seeking attorney fees and a motion for confidential treatment in this proceeding. On October 28, 2019, *sua sponte*, an order was issued providing additional time for Respondents to supplement their petition and for Complainant to file a response. On November 7, 2019, Respondents filed their supplement to the petition for attorney fees.

On November 14, 2019, Complainant filed a motion to strike Respondents’ petition for attorney fees as premature. On November 19, 2019, an order on Complainant’s motion to strike the petition for attorney fees was issued denying the motion to strike the petition but expanding the time for Complainant to respond to the petition and supplement until January 13, 2020. On January 13, 2020, Complainant filed its timely response to Respondents’ petition.

II. Discussion

A. Burden of Proof

Commission Rule 254 states that the appeal of an award of attorney fees is governed by the procedures in 46 C.F.R. § 502.227, 46 C.F.R. § 502.254(h). The applicant for an award of attorney fees bears the burden of establishing entitlement to an award, documenting the appropriate hours, and justifying the reasonableness of the rates. 46 C.F.R. § 502.254(d); *Blum v. Stenson*, 465 U.S. 886, 895 n.11 (1984) (“[C]ourts properly have required prevailing attorneys to justify the reasonableness of the requested rate or rates.”); *Hensley v. Eckerhart*, 461 U.S. 424, 437 (1983) (The “fee applicant bears the burden of establishing entitlement to an award and documenting the appropriate hours expended and hourly rates.”). The petition was filed by Respondents and they have the burden of proof.

B. Arguments of the Parties

In their petition, Respondents request attorney fees, document the staff involved and hours spent, and state that “[b]ased on FMC precedent and the facts and outcome in this proceeding attorney’s fees should be awarded to Respondents.” Petition at 1-2. In their supplement, Respondents assert that they are eligible for an award of attorney fees as prevailing parties, and entitled to an award because “Complainant submitted a frivolous complaint” which was “motivated by an improper internal corporate dispute outside of the FMC’s jurisdiction” and “exhibited ‘objective unreasonableness.’” Petition Supplement at 2-3. Respondents assert that “Complainant egregiously failed to substantiate the legal and factual components of its case,” that “bizarre inconsistencies” in arguments “added vexatious, expensive, and unfair tasks” in defending against the amended complaint, and that “two of the respondents [are] individuals who also experienced significant personal and emotional tax during the pendency of the proceeding.” Petition Supplement at 3-5.

Complainant argues that an automatic award of attorney fees is not consistent with the statutory amendments to the attorney fee provision; a presumption of attorney fees is not consistent with the purposes of the Shipping Act; the FMC has previously denied attorney fees in a proceeding similar to this one; and Respondents have failed to substantiate and justify adequately the large amount of attorney fees requested. Response at 6-16.

C. Eligibility for Attorney Fees

As an initial matter, it is worth addressing whether the undersigned has jurisdiction to address the merits of the petition for attorney fees. The parties did not raise this issue, however, “every federal court has an independent obligation to satisfy itself of the existence of subject matter jurisdiction.” *Minden Pictures, Inc. v. John Wiley & Sons, Inc.*, 2014 U.S. Dist LEXIS 60901 at *15-16 (N.D. Cal. 2014). Federal Courts typically rule on attorney fee requests even where a plaintiff lacks statutory standing. *Minden*, 2014 U.S. Dist LEXIS 60901 at *16-20 (“the overwhelming majority of district courts around the country (and within this Circuit) agree with the Seventh Circuit’s approach and assess the merits of an attorneys’ fees award even after finding a plaintiff lacked Copyright Act standing.”). Accordingly, it appears that the attorney fee petition is within the jurisdiction of the undersigned.

On March 1, 2016, the Commission amended its Rules of Practice and Procedure governing the award of attorney fees in order to implement the statutory amendments made by the Howard Coble Coast Guard and Maritime Transportation Act of 2014, Pub. L. No. 113-282, § 402, 128 Stat. 3022 (Dec. 18, 2014); see generally Docket No. 15-06.

Commission Rule 254 states that in “any complaint proceeding brought under 46 U.S.C. § 41301 (sections 11(a)-(b) of the Shipping Act of 1984), the Commission may, upon petition, award the prevailing party reasonable attorney fees.” 46 C.F.R. § 502.254(a). “The term ‘prevailing party’ . . . is a ‘legal term of art,’ and is ‘interpreted . . . consistently’” and the premise is “‘the material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute.’” Final Rule, 81 Fed. Reg. 10,508 at 10,511-12 (Mar. 1, 2016) (citing *Smyth v. Rivero*, 282 F.3d 268, 274 (4th Cir. 2002) (citations omitted) and *Texas State Teachers Ass’n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792-93 (1989)).

The leading Commission cases implementing the rule are *Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, 34 S.R.R. 439 (FMC 2016) and *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 944 (FMC 2017) and the parties were ordered to address the issues raised by these cases.

In the underlying proceeding, Respondents’ motion to dismiss was successful and the amended complaint was dismissed with prejudice. This constituted a material alteration of the legal relationship of the parties as required to be a prevailing party. In their response to the petition, Logfret states that “Logfret does not take issue with the determination that the Initial Decision effected a material alteration in the legal relationship of the parties, or with Respondents’ claim that Respondents are the ‘prevailing party’ in this proceeding for purposes of the Petition for Attorney’s Fees.” Response at 6 n.6. Respondents are therefore *eligible* for attorney fees as the prevailing party, however, in order to be awarded attorney fees, they also need to be found to be *entitled* to attorney fees.

D. Entitlement to Attorney Fees

The Commission has stated that the “primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes” and “prevailing complainants and prevailing respondents should be treated in an even-handed manner in determining whether to award attorney fees.” Final Rule, 81 Fed. Reg. at 10,509, 10,513.

In *Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 n.19 (1994), a Supreme Court case that addressed entitlement, wherein prevailing plaintiffs and prevailing defendants were treated similarly, the Court put forth several factors to utilize in considering entitlement: “frivolousness, motivation, objective unreasonableness (both in the factual and in the legal components of the case) and the need in particular circumstances to advance considerations of compensation and deterrence.” (quoting *Lieb v. Topstone Industries, Inc.*, 788 F.2d 151, 156 (3d Cir. 1986) (internal quotations omitted)). Although *Fogerty* addressed attorney fee awards under a different statute, we believe that they provide a useful guide for the Commission.

Edaf, 34 S.R.R. at 445.

In *Edaf*, the Complainant “knowingly disregarded the ALJ’s orders on numerous occasions, abandoned its claim, forced multiple Respondents to expend significant resources of both time and money in their defense and, perhaps most egregiously, failed to terminate the claim when it could have limited the expense of the Respondents.” *Edaf*, 34 S.R.R. at 445. The Commission concluded:

We believe that deterring complainants from failing to prosecute their claims by awarding respondents attorney fees furthers the purposes of the Shipping Act. Proceedings that continue on because of non-responding parties like this one, waste the time and resources of both respondents and the Commission and potentially delay the resolution of other complaint proceedings. Therefore, we are granting in part IFS/Neutral and CCL’s petitions for attorney fees in this case.

Edaf, 34 S.R.R. at 445.

In *Baltic Auto*, the Commission denied attorney fees in a case that was dismissed for statute of limitations grounds and therefore did not reach the merits of the claim. The Commission found the Complainant in *Baltic Auto* “had a colorable argument that its claim arose within the statute of limitations and that the claim was not objectively unreasonable.” *Baltic Auto*, 34 S.R.R. at 955.

“‘Objective unreasonableness’ is generally used to describe claims that have no legal or factual support.” *Viva Video, Inc. v. Cabrera*, 9 Fed. App’x 77, 80 (2d Cir. 2001). The “fact that a claim was not successful does not automatically mean that it was objectively unreasonable.” *Baltic Auto Shipping*, 34 S.R.R. at 955.

The mere fact that a defendant has prevailed, however, does not necessarily equate with an objectively unreasonable claim. To hold otherwise would establish a *per se* entitlement of attorney’s fees whenever issues pertaining to judgment are resolved against a copyright plaintiff. . . . This is not a correct construction of the law. Similarly, the fact that a defendant has prevailed on a motion to dismiss or on summary judgment does not require the court to award fees. However, if a copyright claim is clearly without merit or otherwise patently devoid of legal or factual basis, that claim ought to be deemed objectively unreasonable, and an award of fees and costs is then proper.

Chivalry Film Prods. v. NBC Universal, Inc., 2007 U.S. Dist. LEXIS 86889 at *6-7 (S.D.N.Y. 2007) (internal quotation marks and citation omitted). Moreover, it is common to have alternate theories of liability and for factual and legal arguments to develop after a complaint is filed.

This case falls between *Edaf* where a fee petition was granted and *Baltic Auto* where a fee petition was denied. Unlike the complainant in *Edaf*, Complainant *sub judice* did not fail to follow instructions and did not fail to prosecute its claims. However, unlike in *Baltic Auto*, the merits were reached in this case and the underlying case was dismissed, although on a preliminary issue.

Respondents assert that the complaint was “frivolous” and that Complainant “egregiously failed to substantiate the legal and factual components of its case.” Petition Supplement at 3. The factual scenario raised by Complainant was unusual. Although the elements needed to establish jurisdiction are well-settled, there were no similar cases discussing this jurisdictional scenario which would have provided clear guidance. While Complainant was not successful, even after being permitted to amend its complaint, it raised a colorable claim which was not frivolous. In addition, the claim was not objectively unreasonable as it was not clearly without merit or otherwise patently devoid of legal or factual basis. This factor does not weigh in favor of granting attorney fees.

The Court may consider the non-prevailing party’s motive in pursuing the litigation and whether there is a need to award fees as a deterrent. “[P]arties are improperly motivated only if they do not have a good faith intent to protect a valid interest, but rather a desire to discourage and financially damage a competitor by forcing it into costly litigation.” *Warren Publi’g Co. v. Spurlock*, 2010 U.S. Dist. LEXIS 20584 at *37 (E.D. Pa. 2010) (citation omitted). While it is possible that Complainant was motivated by improper intent, whether to undermine a potential competitor, restrain competition, cause personal distress, or gain unfair advantage in the other litigation between the parties, it is also possible that Complainant wanted to pursue every avenue possible to legally protect its business interests. There is not sufficient evidence to determine Complainant’s motivation and therefore, this factor does not weigh in favor of granting the petition.

While the relative financial strength of the parties is a valid consideration in setting the amount of attorney fees, *Lieb v. Topstone Indus.*, 788 F.2d 151, 156 (3d Cir. 1986), it is not clear whether it is relevant to the determination of *eligibility* for attorney fees. See *Canal+ Image Uk Ltd. v. Lutvak*, 792 F. Supp. 2d 675, 680 (S.D.N.Y. 2011). Here, Complainant filed suit against two Respondents in an individual capacity, and Respondents assert that they “experienced significant personal and emotional tax during the pendency of the proceeding.” Petition Supplement at 5. Even if this factor is relevant to determining the eligibility of fees, and accepting that the proceeding was distressing to Respondents, this factor alone is not sufficient to establish an entitlement to attorney fees.

Another consideration is that this case was decided at a preliminary stage, after the filing of a motion to dismiss, and was not appealed. This could weigh against awarding fees as the case was not prolonged but could also weigh in favor of awarding fees as the issue was resolved for failure to meet initial jurisdictional requirements and for being facially insufficient. See *Budget Cinema, Inc. v. Watertower Assocs.*, 81 F.3d 729, 732 (7th Cir. 1996). In this case, this factor is neutral.

Petitioner has not met their burden to establish an entitlement to attorney fees. The purposes of the Shipping Act are met when complainants are able to raise potential violations, even under unusual or unique circumstances, without the chilling impact of having to pay Respondents’ attorney fees. There is no evidence that this proceeding was frivolous, improperly motivated, objectively unreasonable, or otherwise appropriate for an award of attorney fees. Accordingly, the petition for attorney fees is denied.

E. Confidentiality

Respondents moved for confidential treatment of attachments to their petition for attorney fees and Complainant did not object to the request. Respondents submitted an appropriately redacted public version as well as the unredacted exhibit, which is available to the Commission. Such information is appropriate for confidential treatment. Accordingly, there is good cause to grant the motion for confidential treatment.

III. Order

For the reasons stated above, it is hereby **ORDERED** that Respondents' petition for attorney fees be **DENIED**. It is further **ORDERED** that Respondents' motion for confidential treatment be **GRANTED**.



Erin M. Wirth

Chief Administrative Law Judge